

Corporate strategies and economic cycles

An economic cycle is comprised of two major parts and four stages. Part 1 is “Peak to Trough”, including the stages of recession and depression. In a recession period, both business activities and asset prices decrease. Banks become more conservative in lending. In a depression period, people are very pessimistic about economic prospects. Many companies go bankrupt and the unemployment rate soars.

Part 2 is “Trough to Peak”, including the stages of recovery and prosperity. In a recovery period, corporations begin to expand their businesses and the unemployment rate drops. In a prosperity period, corporate revenue increases and rental charge soars. In this period, inflation increases such that everything becomes more expensive. Graph 1 summarizes these stages of an economic cycle.

Most companies adopt procyclical strategies for business management. When economic environments are prosperous, they have cash inflows increased and thus expand their business aggressively. When the peak soon passes and recession arrives they face losses and close down some operations in the period of depression. Many over-expanded companies collapse in this period. In fact, these strategies passively react to economic cycles.

Being a survivor in economic downturns is a necessary condition for a company to grow. To deal with recession and depression, companies need to think about countercyclical strategies. More specifically they must adopt countercyclical strategies in the prosperity period. These strategies include:

1. Getting sufficient long-term funds: During economic downturns, a company makes less, even negative profit, and finds it hard to get bank loans. All lenders are extremely conservative in economic downturns. If the company gets sufficient long-term funds from equity issuance, bond issuance or new loans in advance, the company will easily sail through those hard times. It will even be capable of acquiring new assets and expanding its businesses when everything becomes cheaper.

2. Closing down less profitable operations: In the period of prosperity, the company can review the profitability of their business units and close down the unprofitable ones. This saves plenty of cash flow during economic downturns.

3. Tightening credit lines: Many companies become insolvent because their debtors are unable to pay in economic downturns. To avoid this, companies can review credit lines offered to their customers before economic downturns. It can offer discounts for cash sales, especially to those less credible customers.

GRAPH 圖 1

THE STAGES OF A TYPICAL ECONOMIC CYCLE
典型經濟週期的各個階段

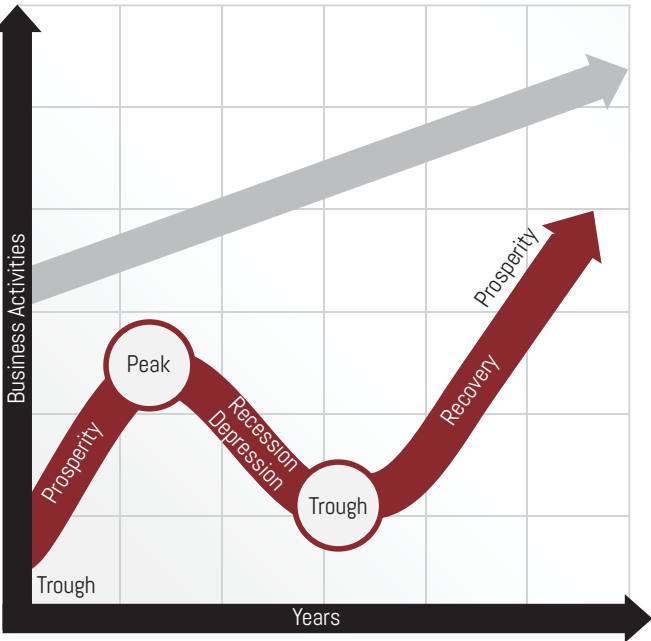


TABLE 表 1

PROCYCLICAL CORPORATE STRATEGIES V COUNTERCYCLICAL CORPORATE STRATEGIES

企業順週期策略對企業逆週期策略

Stage of an economic cycle 經濟週期階段	Procyclical strategies 順週期策略	Countercyclical strategies 逆週期策略
RECESSION 衰退	Keep less profitable operations 保留盈利較低的業務	
DEPRESSION 蕭條	Close down unprofitable businesses Sell off businesses 結束盈利較低的業務 出售業務	Acquire assets and expand business 收購資產並擴展業務
RECOVERY 復蘇	Start to expand business 開始擴展業務	
PROSPERITY 繁榮	Expand business aggressively 積極擴展業務	Close down less profitable operations Arrange long-term funds (equity, bonds, loans) Tighten credit lines 結束盈利較低的業務 準備長期資金 (股票、債券及貸款) 收緊信貸額度

企業策略及經濟週期

經濟週期由兩大部分及4個階段組成。第1部分是「高峰至低谷」，包括衰退和蕭條階段。在衰退階段，商業活動及資產價格均下跌，銀行在貸款方面變得更保守。在蕭條階段，人們對經濟前景非常悲觀，不少企業破產，導致失業率上升。

第2部分是「低谷至高峰」，包括復蘇及繁榮階段。在復蘇階段，企業開始擴展業務，失業率隨之下降。在繁榮階段，企業收入上升，而租金則激增。此時，通貨膨脹導致所有商品服務變得昂貴。圖1總結了經濟週期的各個階段。

在商務管理領域，大多數企業採用順週期策略。經濟環境大好時，它們的現金流入量增加，並積極擴大業務。高峰過後衰退來臨時，它們即面臨損失，並在蕭條階段結束某些業務。不少過度擴展的企業，就是都在這個階段倒閉。事實上，這些策略均以被動的態度應對經濟週期。

能夠在經濟衰退時存活下來，是企業得以發展的必要條

件。為應對經濟衰退及蕭條，企業須考慮逆週期策略。具體而言，它們須在繁榮階段採取逆週期策略，包括：

1. 取得足夠的長期資金：經濟衰退時，企業盈利會較低甚至虧本，亦難以獲得銀行貸款。此時，所有貸款人會變得極為保守。假若企業預先以發行股票、債券或新增貸款取得足夠的長期資金，它們便可安然地度過艱難時期。所有商品服務變得便宜時，它們甚至有能力收購新資產並擴展業務。

2. 結束盈利較低的業務：在繁榮階段，企業可審視各業務部門的盈利水平，並結束盈利較低者。這有助企業在經濟衰退時期，節省大量現金流。

3. 收緊信貸額度：企業陷入破產的原因，不少都是因為其債務人未能在經濟衰退時償還債務。為避免這種情況出現，企業可在經濟衰退前審視給予客戶的信貸額度，亦可針對不太可靠的客戶提供現金折扣。